# Wapic Insurance Plc.

## H1 2015 Financial Results Presentation

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# Presentation Team

**Bode Ojeniyi**

- Group Deputy Managing Director
- Divisional Head, Institutional Clients
- BSc, MSc, MBA
- Over 23 years Banking experience

**Adedayo Arowojolu**

- Managing Director, Wapic Ghana
- BA, MA, ACIN, MBA
- 17 years experience in insurance industry mostly with Royal Exchange General Insurance

**Rantimi Ogunleye**

- Managing Director, Wapic Life Assurance
- BSc, SMP, MBA
- Over 22 years experience in Insurance with Mansard, Crusader Insurance, Cornerstone Insurance, ARMCO

**Zina Y. Giwa-Amu**

- Strategy & Investor Relations; IT and Channels
- LL.B., LL.M
- Over 20 years experience in Strategy, IT and Consulting

**Oluseyi Taiwo**

- Group Head, Financial Control
- BSc., ACA
- Over 12 years experience spanning Auditing & Financial Control

# Presentation Outline

| | |
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| Wapic Insurance Plc. at a glance | Mr. Bode Ojeniyi |
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| HY Financial Review | Mr. Oluseyi Taiwo |
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# Wapic Insurance Plc. at a glance

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**Our Vision**

- To transform and illuminate the insurance industry for the benefit of our customers and other stakeholders

**Our Mission**

- To lead in all that is worthy

**Our Values**

- Excellence
- Professionalism
- Innovation
- Sustainability
- Teamwork
- Leadership
- Empathy

**Rating**

Financial Strength Rating: B-
Issuer Credit Rating: bb-
(AM Best)

## Financial

**Total Assets**

N23.5bn (Q2, 2015)

**Total Equity**

13.4b ordinary shares of 50 kobo each in issue

**Listing**

Nigeria Stock Exchange (since 1978)

**Subsidiaries**

- Wapic Life Assurance Limited
- Wapic Insurance Ghana Limited

**National Locations**

- Abuja
- Benin
- Enugu
- Ibadan
- Kano
- Port Harcourt

**Partners**

- Munich Re
- Africa Re
- Accenture
- Alexander Forbes
- HR Actuaries
- Merchantcantos
- Interbrand

**Our Strengths**

- Experience & expertise
- Strong risk profiling framework
- Prompt claims settlement
- Comprehensive, convenient & timely service



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# HY 2015

# Market & Industry Trends



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# Operating Environment

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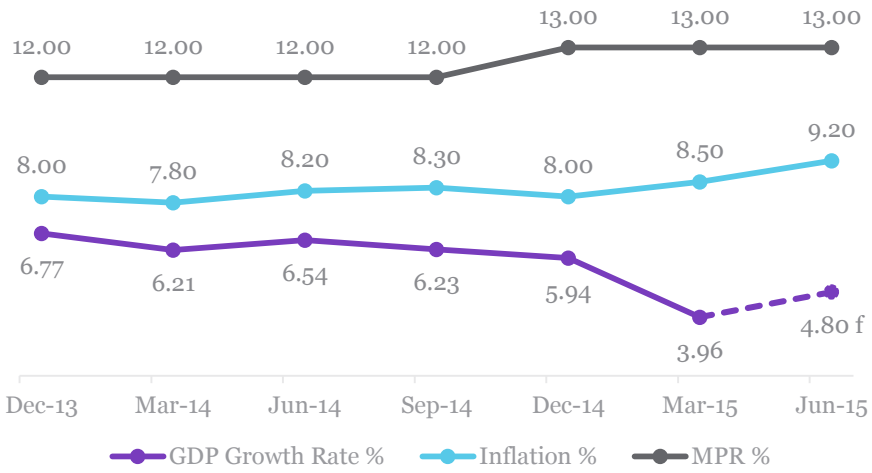
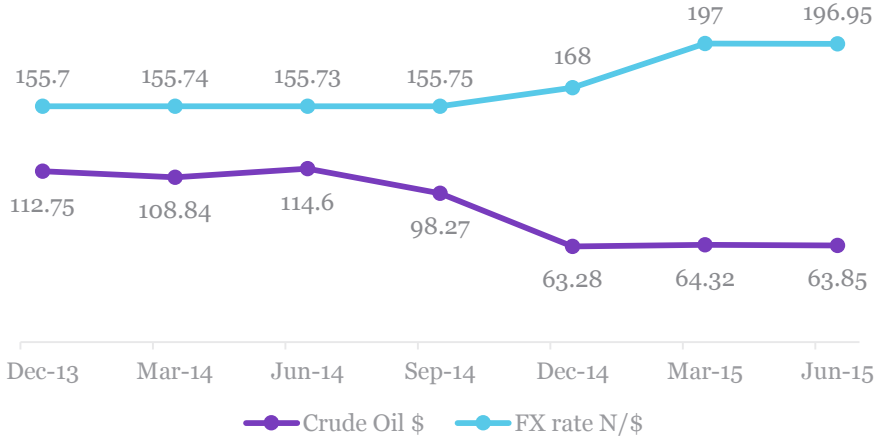
## THE NIGERIAN ECONOMY

- IMF forecast Nigeria's inflation to increase to 11.5%. Headline Inflation was 9.2% in June 2015, up from 8.5% in March- highest level in 24 months.
- GDP growth rate fell to 3.96% in Q1 2015, compared with 5.94% in Q4 2014 and 6.21% in the corresponding quarter of 2014.
- MPR remained at 13%, while CRR for private sector and public sector was harmonized to 13% in May'15.
- The official exchange rate was N196.95/$ in June 2015, down from N197/$ in March 2015 and N155.73 in the corresponding quarter of 2014. Naira traded at N230/$ in the parallel market for the first time in history.
- Oil price (Brent crude) down 1.64% to $63.85 pb. This is driven by speculations over Greek crisis and Iran's nuclear deal.




Source: Central Bank of Nigeria (CBN), Nigerian Bureau of Statistics (NBS), Financial Derivatives, Trading Economics



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# Market Trends

- CBN released new guidelines allowing Bancassurance, after a 2 year moratorium.
- The National Insurance Commission (NAICOM) has set a deadline for insurance companies in the country to clear all outstanding claims by September 30, 2015, or be sanctioned according to extant laws. This in line with the goal to transform and grow the insurance industry by triple digits over the next 3 years.
- Ghana's National Insurance Commission (NIC) operationalized its new solvency regime effective January 2015.
- Change in NAICOM leadership: Mr. Mohammed Kari succeeds Mr. Fola Daniel as the Commissioner for Insurance in a seamless transition process. Until his appointment, Mr. Kari was the Deputy Commissioner (Technical) at NAICOM. Mr. Kari is expected to continue with the reforms that were previously articulated under his predecessor.


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# Financial Review



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# Key Performance Highlights

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**Profitability**

| | H1 2015 | H1 2014 | %Δ |
|---|---|---|---|
| Gross Written Premium (N'm) | 4,014 | 3,704 | +8% |
| Net Underwriting Income(N'm) | 2,005 | 1,766 | +14% |
| Total Underwriting Expenses (N'm) | (1,173) | (907) | +29% |
| Underwriting profit (N'm) | 832 | 859 | -3% |
| Net Inv.& Other Income (N'm) | 1,003 | 747 | +34% |
| Expenses & Provisions (N'm) | 1,726 | 1,375 | +26 % |
| Profit after Tax (N'm) | 19 | 179 | -90% |
| OPEX Ratio | 43% | 29% | +48% |
| Claims Ratio | 21% | 21% | 0% |

**Balance Sheet**

| | H1 2015 | FY 2014 | %Δ |
|---|---|---|---|
| Financial Assets (N'm) | 14,244 | 8,786 | +62 |
| Reinsurance Assets (N'm) | 1,070 | 668 | +60 |
| Total Assets (N'm) | 23,535 | 22,058 | +7 |
| Total Liabilities (N'm) | 8,646 | 7,858 | +11 |
| Shareholders' Funds | 14,841 | 14,200 | +5 |
| Solvency Ratio | 176% | 171% | +3 |
| ROA | 0.09% | 1.07% | -92 |
| ROE | 0.73% | 0.41% | +80 |



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# Income Statement

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| Underlying in N'M | H1'15 | H1'14 | y/y %Δ |
|---|---|---|---|
| **Gross Written Premium** | **4,014** | **3,704** | **8%** |
| Reinsurance Expenses | 932 | 843 | 11% |
| Claims Expenses | 567 | 303 | 87% |
| Underwriting Expenses | 605 | 603 | 0% |
| **Underwriting Profit** | **831** | **858** | **-3%** |
| Investment Income | 785 | 782 | 0% |
| Other Operating Income | 217 | -35 | 720% |
| Operating Expenses | 1,726 | 1,375 | 26% |
| **Profit Before Tax** | **109** | **231** | **-53%** |

**Comments**

- Gross Written Premium increased by 8% to N4.01bn in H1 2015.
- Reinsurance Expenses also grew by 11% in line with increased GWP.
- Claims Expenses increased by 87% to N567m in H1 2015, in line with market expectations. This increase was largely driven by significant prior year oil & gas and fire claims.
- Underwriting Expenses remained relatively unchanged which is reflective of the company's improved underwriting expense management
- Underwriting profit dipped by 3% due to the growth in claims expenses.
- Operating expenses grew by 26% largely due to the Company's focus on customer experience, operational alignment and advertising expenses for the recently launched motor insurance product- Moov. As we improve our sales strategy execution, we expect a significant reduction in OpEx.
- Profit before tax dipped by 53% as a result of slow growth in revenue while expenses grew in line with expectations.



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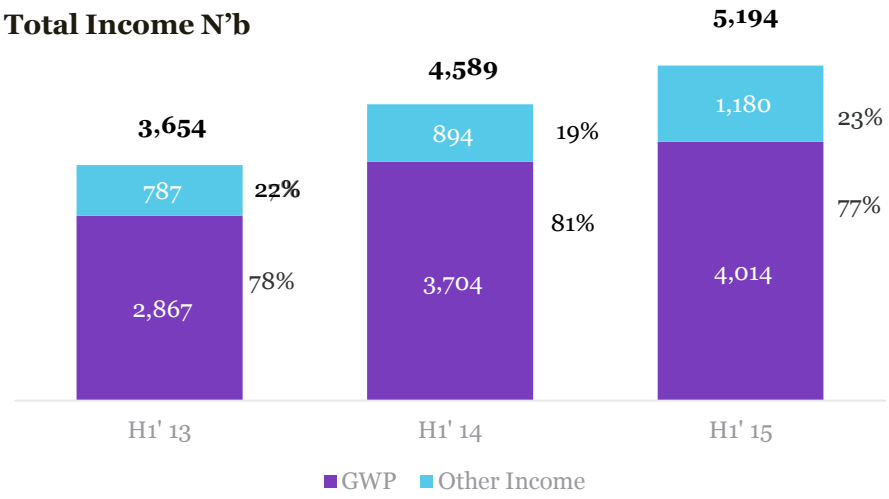
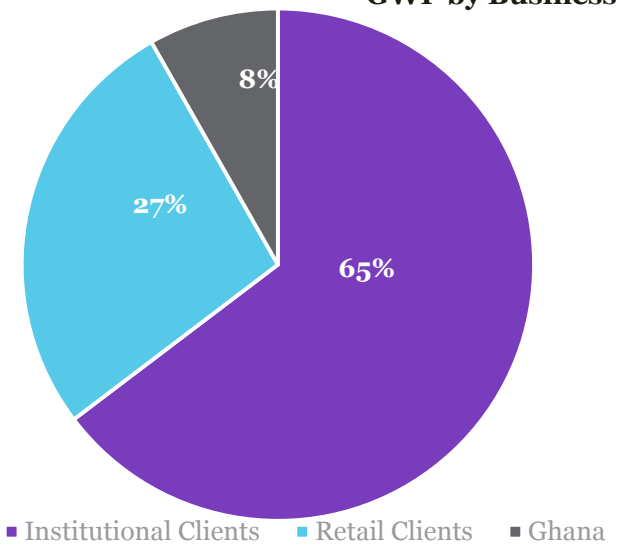
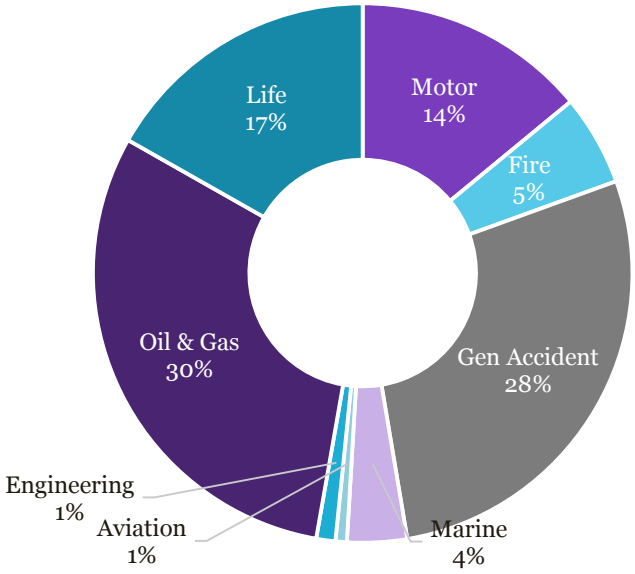
# Revenue

**Total Income N'b**




**GWP by Business Division**




**GWP by Product Class**

- GWP grew by 8% from H1 2014 to N4.01bn in H1 2015.
- Institutional Clients Division is still the largest contributor to the Group's GWP.
- GWP from Oil & Gas, General Accident & Life were 30%, 28% and 17% respectively.
- Wapic Ghana grew 33% in real terms however, sustained FX headwinds negatively impacted its overall contribution to the group.



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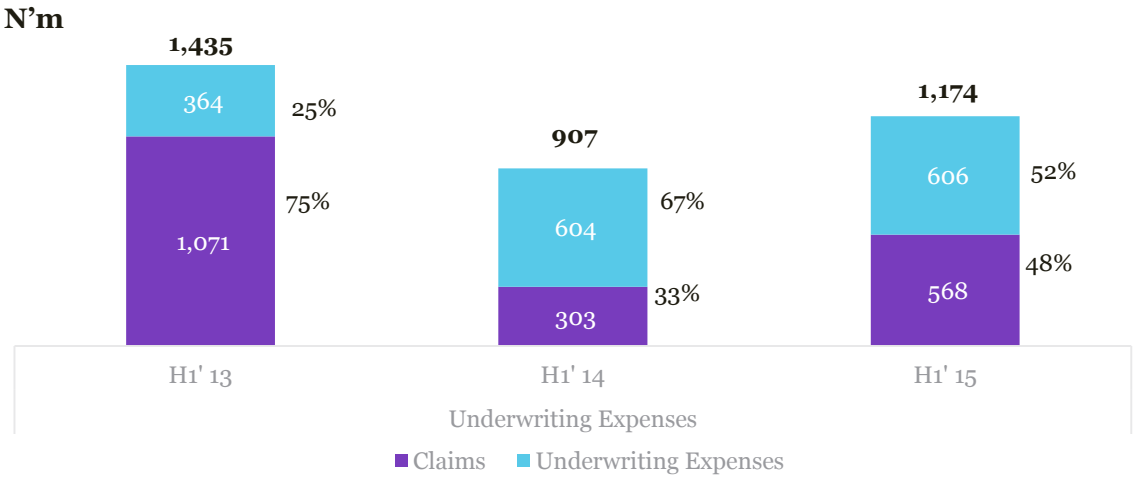
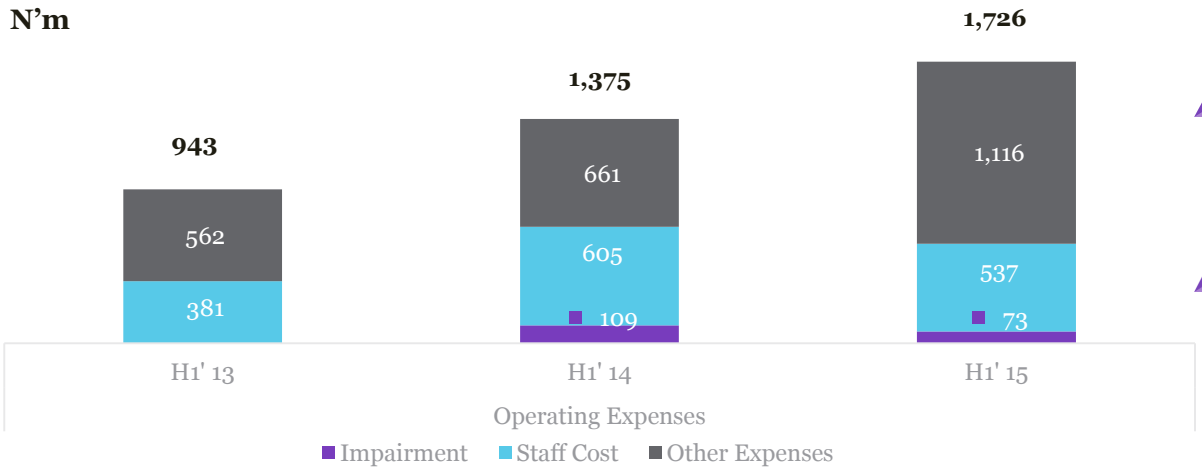
# Expenses

## -Underwriting Expenses & Operating Expenses




- Claims grew by 87% to N568m in H1 2015 in line with market expectations; this is largely due to significant prior year oil & gas and fire claims paid in the period.
- Other Underwriting expenses remained relatively flat due to improved underwriting expense management
- Total underwriting expenses grew at 29% as a result of the significant growth in claims expenses.




- Other Operating Expenses increased to N1.1b; a 69% increase from H1 2014. This expected growth will taper out as we improve execution of our sales strategy
- The benefits of these foundational investments are expected in H2 2015 through 2016. This increase in operating expenses is aligned with our focus on growth in our GWP in the short to medium term.
- Overall, total operating expenses increased by 26% compared to the corresponding period in 2014.



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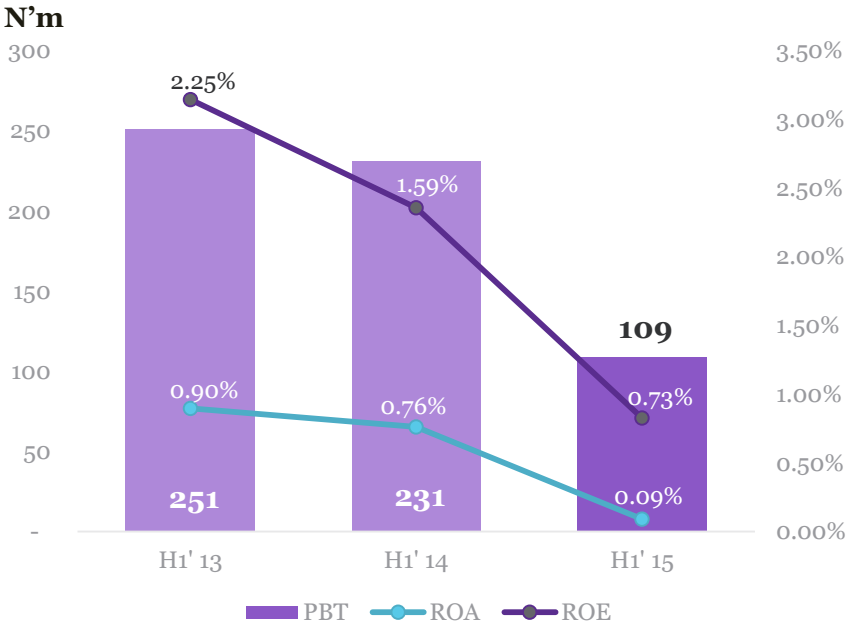
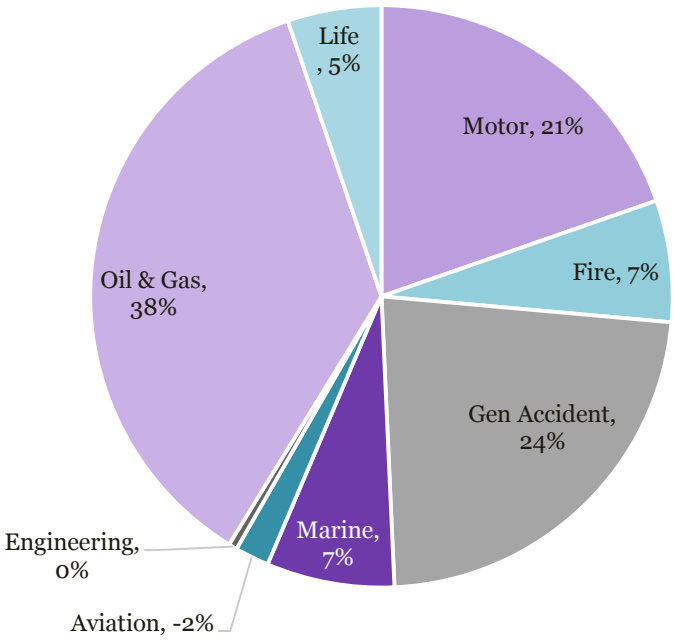
# Profitability




**Underwriting Profit by Product Class**




## Comments

- PBT reduced by 53% in H1 2015 to N109m. We have made investments to better execute on our sales strategy, improving the topline. The collective impact of this strategic expenditure is an expected growth in GWP in the short to medium term.
- ROE and ROA fell to 0.73% and 0.09% respectively.
- Oil & Gas remained the group's most profitable product contributing 38% to the Group's underwriting profits. This is followed closely by General Accident and Motor Insurance which contributed 24% and 21% respectively.



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# Statement of Financial Position

| Underlying in N'm | H1'15 | FY'14 | YTD%Δ |
|---|---|---|---|
| Cash and Cash Equivalents | 2,071 | 5,173 | (60) |
| Financial Assets | 14,244 | 8,786 | 62 |
| Reinsurance Assets | 1,070 | 667 | 60 |
| Investment Properties | 1,059 | 4,056 | (74) |
| Fixed Assets & Intangibles | 1,828 | 1,619 | 13 |
| Receivables | 1,664 | 316 | 426 |
| Other Assets | 1,596 | 1,435 | 11 |
| **Total Assets** | **23,534** | **22,058** | **7** |
| Trade Payables | 506 | 417 | 21 |
| Provisions & Other Payables | 2,281 | 2,893 | (21) |
| Current Income Tax Liabilities | 250 | 300 | (17) |
| Insurance Contract Liabilities | 4,489 | 3,070 | 45 |
| Investment Contract Liabilities | 1,167 | 1,176 | (1) |
| **Total Liabilities** | **8,693** | **7,858** | **11** |
| **Equity** | **14,841** | **14,200** | **5** |
| **Total Equity & Liabilities** | **23,534** | **22,058** | **7** |

**Comments**

- Financial Assets grew by 62% to N14.2b as at first half, 2015.
- The 60% reduction in cash & cash equivalents reflects a realignment of the Company's investment strategy for appropriate matching of the Company's liability profile to asset profile.
- Investment properties declined by 74% as a result of the disposal of significant portion of investment properties held for sale.
- Reinsurance Assets increased by 60% as a result of an increase in prepaid reinsurance and claims recoverable
- Receivables grew by 426% to N1.6bn largely driven by increased broker-related business written
- Insurance contract liabilities increased by 45% driven largely by increased provisions for insurance policies written.

Receivables= Trade receivables+ Other receivables & prepayment
Other Assets= Deferred acquisition cost+ Deferred Tax asset + Statutory Deposits
Fixed Assets & intangibles= Property, plant & equipment + Intangible Assets

# Highlights of Financial Position

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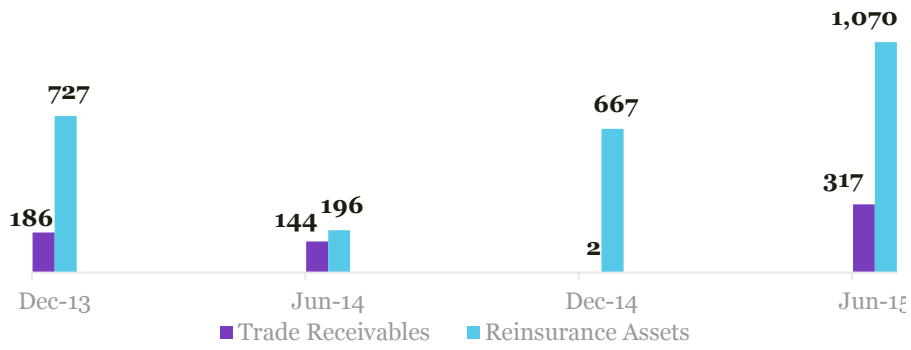
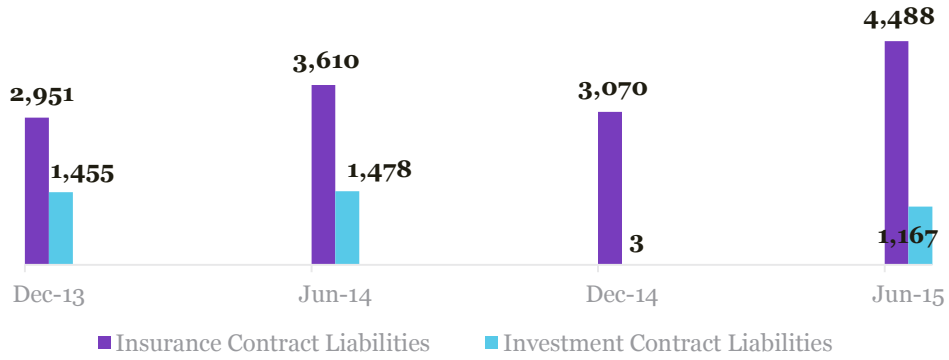
Trade Receivables & Reinsurance Assets (N'm)



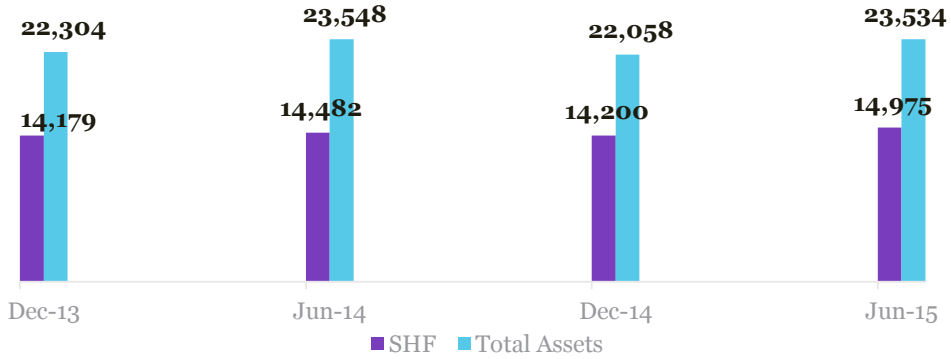

- Trade Receivables growth of 15,750% in H1 2015 was as a result of higher receivables driven by mid-year transactions.
- In compliance with NAICOM's NPNC policy, all trade receivables are on transactions with cash-backed credit notes having a 30-day settlement timeline
- Reinsurance assets growth of 60% from FY 2014 driven by prepaid reinsurance and claims recoverable

Insurance Liabilities & Investment Contract (N'm)



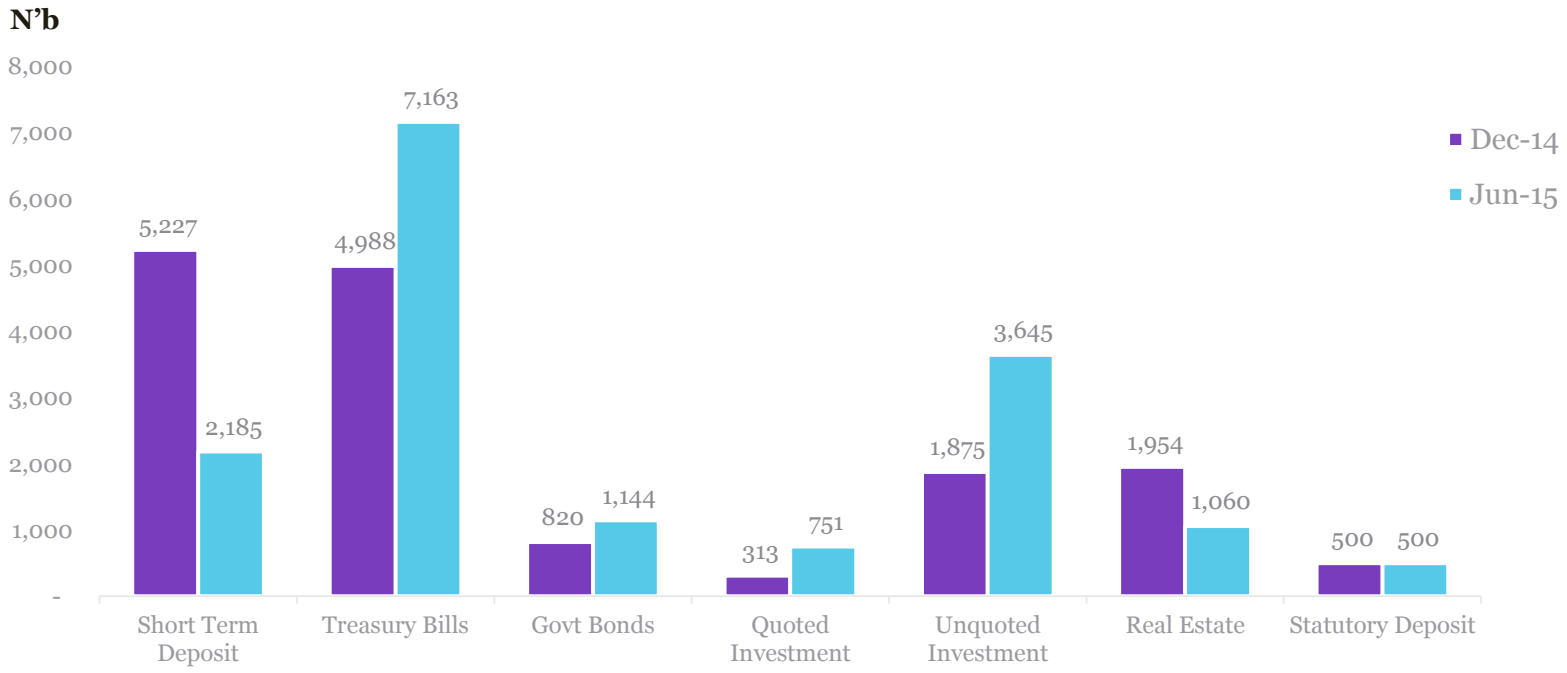

- Insurance Contract Liabilities increased by 46% in H1 2015 driven by increase in unearned premiums
- Investment Contract Liabilities increased to N1.1b a 38,800% increase from FY 2014 due to a rise in contributory deposits.

Shareholders' Funds & Total Assets (N'b)




- Shareholders' Funds and Total Assets grew by 5% and 7% respectively compared with FY 2014

# Assets Under Management




- Treasury bills and placements have highest asset allocation at 60% of total portfolio, currently generating the highest return at average annualized return of 12.90%. This reflects the downward trend of interest rate in the market.
- Equities allocation increased significantly to reflect the strategic positioning for growth. There was a significant increase in quoted equity exposure in the quarter.



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# H2 2015 Outlook



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# H2 Outlook

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| | |
|---|---|
| FINANCIAL | ▲ We expect to close the year at a growth rate of 30%, ahead of average market growth rate of 10% - 15%. This is a result of our increased focus on revenue growth<br>▲ Wapic is focused on sustained growth; based on projections, we can expect an increased PBT margin for second half 2015<br>▲ Economic recovery in Ghana is expected based on signing of the $1bn Eurobond, output from a strong cocoa season as well as significant credit loan inflows |
| OPERATIONAL | ▲ We have eliminated legacy weaknesses and NAICOM's stance on claims validates the actions we have preemptively taken. We are well positioned to comply with Regulators on claims, given our strategic focus on improved claims experience for customers<br>▲ We expect significant investments and upgrade of technology as an enabler of our corporate strategy and focus on improved customer experience |
| SALES | ▲ Increased focus on better execution of our sales strategy on our flagship products Moov and Group Life<br>▲ Renewed optimization of our strategy in the B2B2C space, specifically Bancassurance, due to the enormous potential for partnership and seamless execution |
| PEOPLE | ▲ Wapic has seamlessly executed its disciplined succession plan, with leadership positions organically filled by quality insurance professionals, subject to requisite regulatory approvals<br>▲ Our focus on best-in-class professionals gets a boost with a top class infusion of staff at all levels, including graduates from the first rate Wapic Academy |
| RISK & ENVIRONMENT | ▲ We expect a positive impact from policy stabilization over the next half year period<br>▲ Following CBN's recent monetary policy and suspension of foreign currency cash deposits by banks, Wapic is effectively monitoring and managing the unlikely event of any foreign exchange risk which may emerge<br>▲ With a scheduled review of our AM Best rating in Q3, 2015, Wapic has focused on improving on identified weaknesses and consolidating on our strengths. |


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For further enquires:

*Wapic will transform the insurance market in Nigeria and beyond.*
*A new paradigm.*
*A unique proposition.*


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# HY 2015

# Appendices



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# Evolution Since 1958

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**1958**

- Established in 1958 as a subsidiary of Provincial Insurance Company , United Kingdom
- Incorporated as West African Provincial Insurance Company

**1990**

Became a publicly quoted company

**2006**

Expanded scope of operations to Life Assurance by establishing Wapic Life Assurance Limited

**2008**

Expanded presence to Ghana by establishing Wapic Insurance (Ghana) Limited

**2011**

Became a subsidiary of Access Bank Plc.

**2012**

Merged with Intercontinental Properties Limited and became a top 5 Insurance Company in Nigeria by Shareholders' Fund and Assets and across other key performance indicators

**2013**

- Concluded capital raising exercise and emerge top 5 insurance company by SHF
- Divestment of Access Bank and enlargement of shareholder base to over 850,000

**2014**

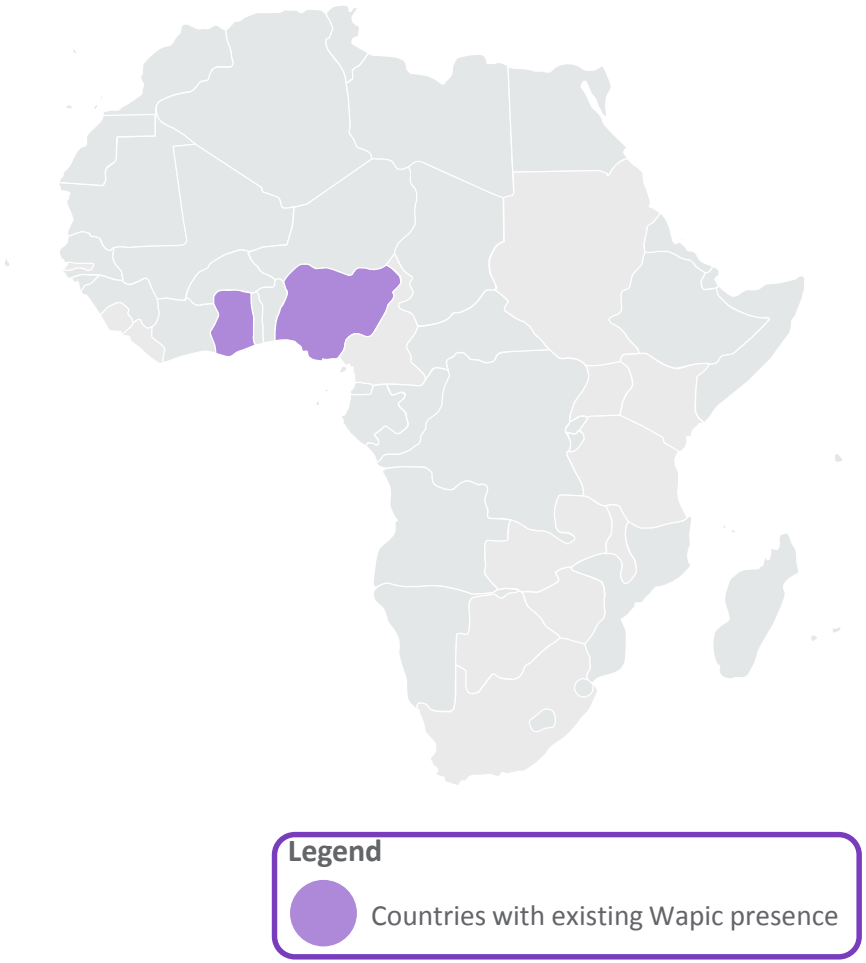
- Awarded A.M. Best financial strength rating (FSR) of B- and an issuer credit rating (ICR) of bb- making Wapic one of only three insurance companies in Nigeria to have an A.M. Best rating.
- Recorded a 214% growth in PAT in 2014

# Statement of Financial Position

| | Group | | Company | |
|---|---|---|---|---|
| | 30 Jun '15 N'000 | 31 Dec '14 N'000 | 30 Jun '15 N'000 | 31 Dec '14 N'000 |
| Cash and cash equivalent | 2,071,470 | 5,173,243 | 1,180,814 | 3,190,253 |
| Financial assets | 14,244,002 | 8,786,496 | 10,286,357 | 6,030,939 |
| Trade receivables | 317,742 | 2,699 | 215,356 | - |
| Reinsurance assets | 1,070,439 | 667,928 | 995,058 | 618,021 |
| Deferred acquisition cost | 420,938 | 253,507 | 377,132 | 214,140 |
| Other receivables & prepayments | 952,401 | 314,627 | 1,102,942 | 203,030 |
| Investment in subsidiaries | - | - | 3,231,976 | 3,231,976 |
| Investment properties | 1,059,813 | 4,056,313 | 1,024,814 | 4,021,313 |
| Deferred tax asset | 660,524 | 664,759 | 479,583 | 479,583 |
| Property, plant and equipment | 1,785,456 | 1,570,977 | 1,692,768 | 1,480,073 |
| Intangible assets | 43,040 | 49,814 | 40,022 | 45,835 |
| Statutory deposit | 514,795 | 518,508 | 300,000 | 300,000 |
| ***Total assets*** | ***23,534,618*** | ***22,058,871*** | ***20,926,822*** | ***19,815,163*** |
| Trade Payables | 506,036 | 417,655 | 429,076 | 328,885 |
| Other payables | 2,281,430 | 2,893,034 | 2,042,447 | 2,731,208 |
| Current Income tax liabilities | 249,942 | 300,498 | 103,167 | 162,683 |
| Insurance contract liabilities | 4,488,892 | 3,070,797 | 3,376,216 | 2,201,313 |
| Investment Contract Liabilities | 1,167,012 | 1,176,266 | - | - |
| ***Total liabilities*** | ***8,693,311*** | ***7,858,250*** | ***5,950,905*** | ***5,424,089*** |
| Share capital | 6,691,369 | 6,691,369 | 6,691,369 | 6,691,369 |
| Share premium | 6,194,983 | 6,194,983 | 6,194,983 | 6,194,983 |
| Other reserves | 947,855 | 325,957 | 1,182,390 | 460,605 |
| Contingency reserves | 1,549,193 | 1,436,917 | 1,323,083 | 1,232,784 |
| Retained earnings | (542,093) | (448,605) | (415,909) | (188,667) |
| **Share holders' fund** | **14,841,307** | **14,200,621** | **14,975,917** | **14,391,074** |
| **NET ASSETS** | **14,841,307** | **14,200,621** | **14,975,917** | **14,391,074** |

# Income Statement

| | Group | | Company | |
|---|---|---|---|---|
| | JUNE 2015 N'000 | JUNE 2014 N'000 | JUNE 2015 N'000 | JUNE 2014 N'000 |
| Gross written premium | 4,014,354 | 3,704,320 | 3,009,985 | 2,822,378 |
| Movement in Unearned premium | (1,253,384) | (1,241,452) | (936,228) | (1,048,424) |
| Gross premium income | 2,760,970 | 2,462,868 | 2,073,757 | 1,773,954 |
| Reinsurance expenses | (932,899) | (843,293) | (815,765) | (733,408) |
| Net premium Income | 1,828,071 | 1,619,575 | 1,257,992 | 1,040,545 |
| Fees and commission income | 176,872 | 146,385 | 151,548 | 132,878 |
| ***Net underwriting income*** | ***2,004,943*** | ***1,765,960*** | ***1,409,540*** | ***1,173,424*** |
| Claims Paid | (580,781) | (715,114) | (331,591) | (448,405) |
| Movement in Outstanding Claims | (142,748) | 492,770 | (191,876) | 544,895 |
| Claims expense recoverable | 155,947 | (81,074) | 123,556 | (120,512) |
| Net claims expenses | (567,583) | (303,418) | (399,911) | (24,022) |
| Underwriting expenses | (605,841) | (566,712) | (421,410) | (453,515) |
| ***Total underwriting expenses*** | ***(1,173,424)*** | ***(870,130)*** | ***(821,320)*** | ***(477,537)*** |
| ***Total underwriting profit*** | ***831,519*** | ***895,830*** | ***588,219*** | ***695,887*** |
| Transfer to Life Fund | - | (37,188) | - | - |
| Investment income | 785,931 | 782,595 | 417,656 | 478,768 |
| Net FV Gain/Loss on Invest. Property @FVTPL | 18,200 | - | - | - |
| Net FV Gain/Loss on Financial Asset HFT@FVTPL | 876 | - | - | - |
| Other operating income | 197,999 | (35,206) | 151,066 | 22,632 |
| ***Net income*** | ***1,834,525*** | ***1,606,031*** | ***1,176,018*** | ***1,197,287*** |
| Impairment on trade receivable | (80,210) | (108,398) | (80,083) | - |
| Impairment on Other Assets | 7,151 | - | - | - |
| Employee benefit expenses | (536,535) | (605,154) | (373,593) | (427,444) |
| Other operating expenses | (1,116,084) | (661,013) | (821,549) | (453,363) |
| **Profit before tax** | **108,848** | **231,466** | **(99,207)** | **316,479** |

# About Us

- Wapic Insurance Plc. has been in operations for over half a century, offering a wide range of insurance coverage.
- Established in 1958, Wapic has built a strong franchise in two of the largest economies in Sub-Saharan Africa - Nigeria and Ghana.
- We operate two subsidiaries - Wapic Life Assurance Limited and Wapic Insurance (Ghana) Limited.
- We have a reputation for delivering efficient and transparent insurance solutions to discerning clients.
- Our vision is to transform and illuminate the insurance industry. In pursuit of this vision, We are committed to going beyond the ordinary, ensuring that our customers are supported with unique products and services designed to enable them understand, manage and better protect themselves against various classes of risks.